Car & General (Kenya) Limited
Audited results for
the year ended 30 September 2011

26 January 2012

The Board of Directors of Car & General (Kenya) Limited is pleased to announce the audited results and financial statements for the year ended 30 September 2011

Consolidated statement of comprehensive income
for the year ended 30 September 2011

	2011 KSh 000	2010 KSh 000
Turnover	6,086,106	4,779,318
Profit before gain in fair value of investment property, interest and exchange losses/gains	326,978	412,561
Gain in fair value of investment property	292,578	61,625
Interest expense	(186,652)	(128,346)
Exchange losses	(4,978)	(16,665)
Profit before tax	427,926	329,175
Taxation charge	(139,220)	(90,941)
Profit for the year	288,706	238,234
Other comprehensive income		
Revaluation surplus on property	79,650	58,870
Deferred tax on revaluation surplus	(23,895)	(17,661)
Exchange difference on translation of foreign operations	27,430	(16,412)
	371,891	263,031
Profit attributable to –		
Owners of the parent	260,204	238,036
Non-controlling interests	28,502	198
	288,706	238,234
Total comprehensive income attributable to –		
Owners of the parent	343,389	262,833
Non-controlling interests	28,502	198
	371,891	263,031
	Sh	Sh
Earnings per share – basic and diluted	7.78	7.12
Dividend per share – proposed	0.55	0.80

Condensed consolidated statement of financial position at 30 September 2011

	2011 KSh 000	2010 KSh 000
Capital employed		
Shareholders' funds	1,862,329	1,536,764
Non-controlling interests	57,993	19,142
Non-current liabilities	536,670	276,041
	2,456,992	1,831,947
Represented by		
Non-current assets	2,074,249	1,193,321
Net current assets	382,743	638,626
	2,456,992	1,831,947

Condensed consolidated cash flow statement for the year ended 30 September 2011

	2011 KSh 000	2010 KSh 000
Cash generated from operations	168,761	200,835
Tax paid	(92,187)	(105,657)
Net cash from operating activities	76,574	95,178
Net cash used in investing activities	(538,996)	(87,231)
Net cash generated from financing activities	544,090	19,987
Increase in cash and cash equivalents	81,668	27,934
At start of period	76,476	47,872
Effects of exchange rates on the balance of cash held in foreign operations	(6,956)	670
At end of period	151,188	76,476

Consolidated statement of changes in equity for the year ended 30 September 2011

	Attributable to owners of the parent						
	Share capital KSh 000	Revaluation surplus KSh 000	Revenue reserve KSh 000	Translation (deficit)/ reserve KSh 000	Attributable to owners KSh 000	**Non-controlling interests** KSh 000	Total KSh 000
Year ended 30 September 2010							
At 1 October 2009	111,398	165,657	1,014,643	(2,840)	1,288,858	18,944	1,307,802
Profit for the year	-	-	238,036	-	238,036	198	238,234
Revaluation surplus on property	-	58,870	-	-	58,870	-	58,870
Deferred tax on revaluation surplus	-	(17,661)	-	-	(17,661)	-	(17,661)
Exchange difference arising on translation of foreign operations	-	-	-	(16,412)	(16,412)	-	(16,412)
Total comprehensive income	-	41,209	238,036	(16,412)	262,833	198	263,031
Transfer of excess depreciation	-	(3,408)	3,408	-	-	-	-
Deferred tax on excess depreciation	-	685	(685)	-	-	-	-
Dividend paid – 2009	-	-	(14,927)	-	(14,927)	-	(14,927)
At 30 September 2010	111,398	204,143	1,240,475	(19,252)	1,536,764	19,142	1,555,906

Consolidated statement of changes in equity for the year ended 30 September 2011

	Attributable to owners of the parent						
	Share capital KSh 000	Revaluation surplus KSh 000	Revenue reserve KSh 000	Translation (deficit)/ reserve KSh 000	Attributable to owners KSh 000	**Non-controlling interests** KSh 000	Total KSh 000
Year ended 30 September 2011							
At 1 October 2010	111,398	204,143	1,240,475	(19,252)	1,536,764	19,142	1,555,906
Profit for the year	-	-	260,204	-	260,204	28,502	288,706
Revaluation surplus on property	-	79,650	-	-	79,650	-	79,650
Deferred tax on revaluation surplus	-	(23,895)	-	-	(23,895)	-	(23,895)
Exchange difference arising on translation of foreign operations	-	-	-	27,430	27,430	-	27,430
Total comprehensive income	-	55,755	260,204	27,430	343,389	28,502	371,891
Transfer of excess depreciation	-	(4,955)	4,955	-	-	-	-
Deferred tax on excess depreciation	-	1,487	(1,487)	-	-	-	-
Non-controlling interests arising on formation of new subsidiary during the year	-	-	-	-	-	3	3
Non-controlling interests arising on purchases of additional shareholding in subsidiary during the year	-	-	-	-	-	10,346	10,346
Issue of bonus share	55,699	-	(55,699)	-	-	-	-
Dividend paid – 2010	-	-	(17,824)	-	(17,824)	-	(17,824)
At 30 September 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322

Commentary

The year to September 2011 proved extremely challenging. The rapid and steep devaluation of the Kenya Shilling against all major currencies had a significant negative impact on margins which reduced profitability. Whereas the Group made reasonable progress in terms of increasing turnover to over Kshs 6 billion, growing 27% over the previous year, profitability at Kshs 428m was well below expectation largely due to unsatisfactory returns from our distribution business. Our investment property business and poultry business performed reasonably.

The highlights of the financial year were the growth of our Kenyan businesses and our business in Tanzania; recognition by the President as a distinguished taxpayer; the growth of our TVS two wheelers in Kenya; the establishment of a high horsepower rebuild centre in Kenya; the purchase of 24 acres of land in Mombasa; our sustained market share in our three wheeler business particularly in Tanzania; the growth of all core brands, particularly Cummins; the further streamlining of business in Ethiopia, Djibouti, Eritrea and Seychelles through dealers; better representation in the mining sector in Tanzania; improved understanding of our markets and the identification of quality tyre and lubricant brands.

The biggest challenges throughout the year were adverse foreign exchange movements across the region.

We are pleased to report that we have now defined our corporate social responsibility programs. We are focusing on two major initiatives - our countrywide eye clinic program run through Lions Clubs which, in 2011, assisted 2,500 patients and sponsored over 200 cataract operations; and our countrywide health and safety program run through St John's Ambulance which trains jua kali mechanics and motorcycle riders. We hope to intensify activity in 2012.

Final dividend, increase of authorised share capital and resolutions for the establishment of Employee Share Ownership Scheme(s)

The Directors have resolved to recommend to shareholders at the Annual General Meeting to be held on 23 March 2012 –

(i) That a Final Dividend for the year ended 30 September 2011 of KSh 18,380,683 (KSh 0.55 per share) be declared payable to those shareholders registered at close of business on 23 February 2012, save that the shares in respect of the proposed Employee Share Ownership Scheme(s) (ESOS) shall not be entitled to the final dividend in respect of the financial year ended 30 September 2011.

(ii) That the share capital of the Company be increased from KSh 170,000,000 to KSh 175,000,000 by the creation of 1,000,000 additional Ordinary Shares of KSh 5 each.

(iii) That (a) subject to the approvals of the Capital Markets Authority, Nairobi Securities Exchange Limited and Kenya Revenue Authority, the Directors be authorised to establish Employee Share Ownership Scheme(s), (b) the Directors be authorised to allot Ordinary Shares to Trustees of the ESOS(s) mentioned in (iii)(a) above up to 1,500,000 Ordinary Shares and (c) the Company's Articles of Association be altered as appropriate to facilitate the establishment of the ESOS(s).

Closure of register

Notice is hereby given that the Register of Members will be closed from 24 February 2012 to 1 March 2012, both dates inclusive, for the purpose of preparation of a dividend list. Documents for registration, which should be received by 4.30 pm on 23 February 2012, may be hand delivered or posted to the Registered Office at the following address:

New Cargen House, Lusaka Road, Nairobi, PO Box 20001 Nairobi City Square 00200.

Annual General Meeting

Notice is hereby given that the Annual General Meeting of the Company will be held on 23 March 2012 at 12.00 noon at the Company's Registered Office, New Cargen House, Lusaka Road, Nairobi.

NP Kothari
Secretary

26 January 2012
Nairobi